

Agile Operating Model

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Squads, tribes and fast feedback

PROFESSIONAL DEFINITION

An Agile Operating Model organises work around small, cross-functional teams with fast feedback loops, enabling rapid responsiveness in place of slow, hierarchical decision-making.

WHO DEVELOPED IT

Synthesised from agile software practice and scaled-agile thinking, popularised for whole organisations by writers such as Aghina and colleagues at McKinsey.

WHY IT WAS DEVELOPED

It was developed to give organisations the responsiveness that fast-changing, AI-shaped markets demand.

FIGURE 1 · AGILE OPERATING MODEL



Figure 1. A schematic of the Agile Operating Model as applied in BARBM312 (illustrative).

HOW IT IS USED

Work is reorganised into empowered teams with clear missions and fast feedback; governance lightens to allow speed within guardrails.

WHEN IT IS USED

During agile transformation and when responsiveness becomes a strategic priority.

BY WHOM IT IS USED

Executives, transformation leaders and team leads.

INNOVATION RELATIVE TO THE PREDECESSOR TOOL

It scales agile principles from software to the enterprise, structurally enabling the decision speed agility requires.

RELATED FRAMEWORKS IN THIS COURSE

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Cynefin Framework · Slibrary 17

Sense-Respond Loop · Slibrary 17

Real Options Lens · Slibrary 17

SOURCES (HARVARD REFERENCING STYLE)

Aghina, W. et al. (2018) 'The five trademarks of agile organizations', McKinsey & Company.

Rigby, D.K., Sutherland, J. and Takeuchi, H. (2016) 'Embracing agile', Harvard Business Review, 94(5).